

BOARD OF CBA

MINUTES (16.05.2017)

Refinancing Rate of May 16, 2017

The CBA Board Meeting of May 16, 2017 attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board meeting opened with presentation of Situation Report as of May 16, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 1.0% of inflation in April 2017 against 0.3% of deflation recorded in the same month of the previous year, in which case the 12-month inflation rate has increased, reaching 1.2% at the end of the month. Such a high inflation registered in April (average inflation of the same month in the last 6 years has been -0.2%) was mainly due to a 1.8% rise in prices of food products, having contributed to headline inflation by 0.8 pp. The 12-month inflation rate has incurred mostly the influence of supply-side factors, to which the Central Bank normally reacts partially, especially when core inflation continues recovering in line with the expected rates. It was estimated that a faster rebounding of aggregate demand would lead the core inflation to recover rapidly than anticipated, and that the 12-month inflation rate would be within the confidence band during the year. It was also noted that inflation risks were now balanced.

For external sector developments, it was noted that in spite of price deflation in the main food product markets in April (Food and Agriculture Organization's (FAO) Food Price Index of May 4th of 2017 fell in April by 1.8% against the previous month's index, yet it had risen by around 10.0% over the same reference period last year) published on May 4, the food price index in April fell by 1.8% the previous month while over the same period last year increased by 10.0 percent), minor inflationary trends will largely be persisting in short-term and medium-term perspectives, according to the Central Bank estimate.

For developments in the domestic economy, it was admitted that economic activity in the first quarter of the year proved relatively high, which has incurred mostly the effect of high growth reported in industry, services and trade sectors. As a result, the first quarter 2017 economic growth is estimated at 5.0%, which includes both supply and demand components, based on which some of the effects will eliminate starting from the second quarter. However, some of them will remain in the current year, based on which the economic growth forecast for 2017 has been revised upside, 3.3-4.8% from 2.2-3.2% in the previous forecast. At the same time, domestic demand is recovering faster than

expected, influenced by expansionary monetary and fiscal policies conducted in 2015-2016. Rebounding aggregate demand somewhat affected the developments with the current account, leading to the accelerated growth rates in real import of goods and services, as real growth rates in export of goods and services slowed down to a certain extent. In terms of aggregate demand, the Board also highlighted the impact of the fiscal policy to be implemented, which is an estimated 3.1 pp contractionary for 2017, but may be adjusted depending on how the implementation of fiscal policy will unfold. As a result, a positive GDP gap is estimated for the first quarter of 2017, which will be somewhat inflationary on domestic prices.

The Board also discussed the developments in financial market where a further downward trend in interest rates in almost all segments has been observable. It was emphasized that short-term market rates have been very close to the Central Bank's policy rate and have facilitated the transmission of decreasing effect onto long-term interest rates.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began discussing the monetary policy directions and the interest rate decision-making. Admitting that the current policy rate is still impulsive, the Board decided to leave the refinancing rate unchanged, 6.0%.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD RESOLUTION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia enacts:

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1. Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.5%.
3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

PRESS RELEASE

16.05.2017

On a May 16, 2017 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the 6.0% level.

There was 1.0% inflation in April of 2017 compared with 0.3% deflation recorded in the same month of the previous year, which has been mainly attributable to higher levels of prices of agricultural products. In this circumstance, the 12-month inflation rate has expanded and entered a positive territory; it amounted to 1.2% at the end of April, exceeding the Central Bank forecasts. The Board estimates that in the forecast horizon the inflation will continue to recover, stabilizing around the target.

In the external environment, the global economic growth outlook is improving and inflationary patterns in international commodity markets are persisting. However, the Board of the Central Bank expects only moderate inflationary effects from the external sector in the forthcoming months.

The Board notes that growth of economic activity in the first quarter of 2017 was strong enough, largely due to high growth registered in industry, rendered services and trade sectors. At the same time, the expansionary monetary policy implemented in recent years continues contributing to the recovery of domestic demand. As a result, it is expected that inflation will be within the confidence band already in 2017 and will stabilize around the target in the forecast horizon. Also, inflationary risks are estimated to be largely balanced at this point, in which case the Board considers it appropriate to leave the monetary conditions unchanged.

However, should there emerge risks to the inflation deviating from its recovery path, the Central Bank would react by adjusting its monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

Detailed information on setting of the interest rate will be available in Inflation Report (Monetary Policy Program Q2, 2017), to be published by May 26, 2017.

Press Service of the Central Bank of Armenia